

Apex Capital Advisors: Q3 2025 Comprehensive Portfolio Analysis

Generated Report
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Content

Executive Summary

- **Portfolio Return (Q3 2025):** +8.84% vs. SPY +7.86% — outperforming benchmark by 0.98pp
- **YTD Return:** +9.15% vs. SPY YTD +13.95%
- **Risk Profile:** Sharpe 1.31 | Beta 0.74 | R² 0.13 vs SPY | 95% Daily VaR: 2.49%
- **Macro:** Fed Funds 4.22% | Unemployment 4.4% | 10Y Yield 4.16%
- **Drawdown:** Avg max drawdown -8.90% — within normal range

Macroeconomic Environment

The macroeconomic backdrop during Q3 2025 reflected tightening monetary conditions. The yield curve is normal (upward-sloping) (+0.56% spread), with implications for credit conditions and equity valuations.

Indicator	FRED Series	Value	As Of
Federal Funds Rate	FEDFUNDS	4.22%	2025-09-01
Unemployment Rate	UNRATE	4.40%	2025-09-01
10-Year Treasury Yield	DGS10	4.16%	2025-09-30
2-Year Treasury Yield	DGS2	3.60%	2025-09-30
Consumer Price Index	CPIAUCSL	324.2	2025-09-01

Source: Federal Reserve Economic Data (FRED). All values are latest available observations as of 2025-09-30.

Portfolio Performance

Ticker	Company	Sector	Price	Q3 Return	YTD	1Y	Ann. Vol	Max DD
GOOGL	Alphabet	Technology	\$243.10	+38.25%	+28.33%	+45.58%	27.6%	-4.56%
AAPL	Apple	Technology	\$254.63	+22.52%	+4.42%	+12.56%	25.2%	-5.61%
CAT	Caterpillar	Industrials	\$477.15	+22.06%	+32.63%	+21.60%	22.9%	-6.90%
JNJ	Johnson & Johnson	Healthcare	\$185.42	+18.92%	+28.75%	+14.46%	18.8%	-2.86%
JPM	JPMorgan Chase	Financials	\$315.43	+8.62%	+31.43%	+52.35%	16.9%	-4.47%
HD	Home Depot	Consumer Discretionary	\$405.19	+8.58%	+4.31%	-0.94%	19.5%	-4.31%
CVX	Chevron	Energy	\$155.29	+6.68%	+5.85%	+3.73%	19.6%	-5.05%
UNH	UnitedHealth	Healthcare	\$345.30	+5.87%	-31.56%	-40.80%	46.4%	-27.10%
MSFT	Microsoft	Technology	\$517.95	+5.26%	+23.74%	+23.12%	16.3%	-7.59%
NEE	NextEra Energy	Utilities	\$75.49	+3.33%	+5.42%	-11.47%	23.2%	-10.02%
XOM	Exxon Mobil	Energy	\$112.75	+3.21%	+5.07%	-5.99%	19.5%	-8.32%
AMZN	Amazon	Consumer Discretionary	\$219.57	-0.40%	-0.30%	+18.60%	28.1%	-9.59%
LLY	Eli Lilly	Healthcare	\$763.00	-1.66%	-1.94%	-13.73%	42.3%	-23.01%
V	Visa	Financials	\$341.38	-3.96%	+8.58%	+22.98%	16.4%	-7.46%
PG	Procter & Gamble	Consumer Staples	\$153.65	-4.70%	-7.43%	-11.21%	14.7%	-6.67%

Equal-weight portfolio. Benchmark: SPY. Returns computed from daily close prices in fact_equity_daily (64 data points per ticker for Q3). All data from Yahoo Finance.

KPI Dashboard

SHARPE RATIO 1.31	PORTFOLIO BETA (VS SPY) 0.74	JENSEN'S ALPHA +10.95%
ANNUALIZED RETURN +35.36%	PORTFOLIO VOLATILITY 23.8%	R-SQUARED (VS SPY) 0.13
AVG MAX DRAWDOWN -8.90%	DAILY VAR (95%) 2.49%	HOLDINGS COUNT 15

Full KPI Table

KPI	Formula / Value	Interpretation
Sharpe Ratio (Annualized)	1.31	Strong risk-adjusted returns

KPI	Formula / Value	Interpretation
Portfolio Beta (vs SPY)	0.74	Deviation from market beta — computed from Q3 2025 daily returns
Jensen's Alpha	+10.95%	Positive alpha generation
R-Squared (vs SPY)	0.13	Moderate correlation to S&P 500
Quarterly Return (Q3 2025)	+8.84%	Portfolio outperformed SPY by 0.98pp
YTD Return	+9.15%	Year-to-date performance through 2025-09-30
SPY Benchmark Return (Q3)	+7.86%	S&P 500 ETF quarterly return
Portfolio Volatility	23.8%	Within typical equity range (15-25%)
Avg Max Drawdown	-8.90%	Normal drawdown range for Q3 2025
Daily VaR (95%)	2.49%	Maximum expected daily loss at 95% confidence (parametric)
Risk-Free Rate (FEDFUNDS)	4.22%	Fed Funds rate as of 2025-09-01
Equity Risk Premium	+31.14%	Positive premium for equity risk

Sector Exposure

Sector	Holdings	Weight	Avg Q3 Return
Technology	3	20.0%	+22.01%
Healthcare	3	20.0%	+7.71%
Financials	2	13.3%	+2.33%
Energy	2	13.3%	+4.95%
Consumer Discretionary	2	13.3%	+4.09%
Consumer Staples	1	6.7%	-4.70%
Industrials	1	6.7%	+22.06%
Utilities	1	6.7%	+3.33%

Correlation Matrix (Top 5 Holdings)

	AAPL	MSFT	JPM	JNJ	XOM
AAPL	1.00	0.04	0.08	0.04	-0.09
MSFT	0.04	1.00	0.40	-0.11	-0.02
JPM	0.08	0.40	1.00	-0.02	0.16
JNJ	0.04	-0.11	-0.02	1.00	-0.06
XOM	-0.09	-0.02	0.16	-0.06	1.00

Correlation computed from Q3 2025 daily returns. Values close to 1.0 indicate highly correlated movements.

Risk Assessment

Risk Factor	Level	Commentary
Interest Rate Risk	MEDIUM	Fed Funds at 4.22% — elevated but manageable
Volatility Risk	MEDIUM	Annualized volatility of 23.8% is above historical norms
Drawdown Risk	MEDIUM	Average peak-to-trough of -8.90% during Q3 2025
Concentration Risk	LOW	Equal-weight across 15 holdings in 8 sectors
Yield Curve Risk	LOW	2s10s spread at +0.56% — normal slope

Trend Analysis (Q-over-Q)

Ticker	Q2 Return	Q3 Return	Q-over-Q Change
AAPL	-8.07%	+22.52%	▲ +30.60%
MSFT	+30.15%	+5.26%	▼ -24.88%

Ticker	Q2 Return	Q3 Return	Q-over-Q Change
JPM	+18.98%	+8.62%	▼ -10.37%
JNJ	-0.33%	+18.92%	▲ +19.25%
XOM	-9.44%	+3.21%	▲ +12.66%
AMZN	+14.16%	-0.40%	▼ -14.57%
GOOGL	+12.20%	+38.25%	▲ +26.05%
UNH	-40.36%	+5.87%	▲ +46.24%
PG	-6.59%	-4.70%	▲ +1.89%
HD	+0.31%	+8.58%	▲ +8.28%
V	+2.51%	-3.96%	▼ -6.48%
CVX	-15.03%	+6.68%	▲ +21.70%
LLY	-3.19%	-1.66%	▲ +1.53%
CAT	+17.44%	+22.06%	▲ +4.62%
NEE	-2.12%	+3.33%	▲ +5.44%

Recommendations & Watch Items

1. **Yield curve positioning:** Normal yield curve favors cyclical exposure and growth-oriented allocation

2. **Sector rotation:** Maintain diversification across 8 sectors. Technology outperformance suggests maintaining overweight

3. **Risk management:** Implement stop-loss triggers at -12% per position and -8% at portfolio level

4. **Next review:** Rebalance at end of Q4 2025 or upon FOMC rate decision materially diverging from expectations

Methodology & Data Sources

Component	Detail
Equity Data	Yahoo Finance Chart API — 5yr daily OHLCV, stored in fact_equity_daily (15 holdings)
Benchmark	SPY (SPDR S&P 500 ETF) — real daily returns for beta and R-squared
Macro Data	Federal Reserve Economic Data (FRED) via CSV — 5 series
Portfolio Weighting	Equal-weight across all holdings
Risk-Free Rate	Federal Funds Effective Rate (2025-09-01)
Beta	$\text{Cov}(\text{stock}, \text{SPY}) / \text{Var}(\text{SPY})$ from daily returns
R-Squared	$1 - \text{SS}_{\text{res}} / \text{SS}_{\text{tot}}$ from daily returns regression vs SPY
Volatility	Annualized from daily returns (sqrt(252) scaling)
Sharpe Ratio	$(\text{Annualized Return} - R_f) / \text{Annualized Volatility}$
Jensen's Alpha	$\text{Portfolio Return} - [R_f + \text{Beta} * (\text{Market Return} - R_f)]$
VaR (95%)	Parametric: mean - 1.645 * std of daily returns
Report Period	Q3 2025 (July 1 - September 30, 2025)

Data Lineage

Generated from **3,156,332** rows of real, traceable public data.

Source	Table	Rows	Date Range	Pull Date
Yahoo Finance (S&P 500 subset)	fact_equity_daily	249,944	2021-03-08 to 2026-03-06	2026-03-09
FRED (Federal Reserve)	fact_macro_monthly	84,184	2005-01-01 to 2026-03-06	2026-03-09
Open-Meteo Archive	fact_weather_hourly	2,788,224	2023-01-01 to 2025-12-31	2026-03-09
Yahoo Finance (Crypto)	fact_crypto_daily	33,980	2024-03-08 to 2026-03-08	2026-03-09

This report uses **real market data sourced from Yahoo Finance and the Federal Reserve (FRED), stored in PostgreSQL**. "Apex Capital Advisors" is a fictional firm name used for demonstration — all underlying market data is real and independently verifiable. This report does not constitute financial advice, investment recommendation, or solicitation. Past performance does not guarantee future results.

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